Imagination Library of San Antonio

Fiscal Report
September 2024–May 2026

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Introduction

A Message from Our Board

Dear Friends, Supporters, and Community Partners,

We are proud to present the inaugural annual fiscal report for the Imagination Library of San Antonio (ILSA). As a newly established 501(c)(3) nonprofit organization, 2024 marked a pivotal year in our journey to transform early childhood literacy in our beloved city.

Our Foundation

In 2024, ILSA officially became a Local Program Partner of Dolly Parton's Imagination Library, joining a global network of communities committed to putting books in the hands of children from birth to age five. This milestone represents more than an organizational achievement—it signifies our community's collective commitment to ensuring that every child in San Antonio has access to the fundamental building blocks of learning and imagination.

Our Mission in Action

At ILSA, we believe that books are the building blocks of a brighter future. Our mission is clear and unwavering: to ensure that all young children in San Antonio may participate in our major local programming through enrollment in Dolly Parton's Imagination Library. By providing free, high-quality books to children from birth to age 5, we support early childhood education and inspire a lifelong love of reading.

Our Commitment

Guided by our small but dedicated board of community-minded individuals, we are driven by three fundamental goals:

- **Universal Enrollment**: Achieving equitable access to books by enrolling all eligible children in every zip code throughout San Antonio, Texas
- **Community Investment**: Increasing donations and sponsorships to launch, grow, and sustain this vital program for all of San Antonio's children
- **Educational Impact**: Enhancing local kindergarten readiness by investing in critical foundational reading skills

Looking Forward

This report details our financial stewardship, operational achievements, and the generous support from donors and sponsors who share our vision. Every dollar invested in ILSA represents an investment in San Antonio's future—one book, one child, one brighter tomorrow at a time. We invite you to explore the pages that follow to see how your support has translated into tangible impact for our community's youngest learners. Together, we are building not just literacy, but hope, opportunity, and brighter futures for all.

With gratitude, **The Board of Directors** Imagination Library of San Antonio

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For questions about this report or our programs, please contact us at: admin@imaginationlibrarysa.org

Learn more about Dolly Parton's Imagination Library: imaginationlibrary.com/usa

Chapter 2

Financial Report

2.1 Financial Overview (September 2024–May 2026)

2.1.1 Executive Summary

The Imagination Library of San Antonio (ILSA) is a 501(c)(3) nonprofit and Local Program Partner of Dolly Parton's Imagination Library, mailing free books each month to children from birth to age five in San Antonio. This report summarizes financial activity over the 21 months of September 2024–May 2026.

During this period ILSA received $196,543 in total income against $12,664 in expenses. Accumulated reserves stood at $183,879 at the close of the period.

- **Recurring giving** (online donations and subscriptions via PayPal and Bonterra): $8,495 (4.3% of income), averaging $405 per month.
- **Grants and major gifts** (deposited at the bank): $188,047 (95.7% of income) across 11 deposits; the largest was $110,000 in December 2025.
- **Program cost** (Imagination Library age-group, welcome, and graduation books plus per-piece mailing): $16,863 invoiced, of which $12,163 has been paid in cash and $4,700 remains an outstanding payable to the Dollywood Foundation. Program cost averages $2.38 per child served.

Recurring giving did not fully cover this cost, leaving an operating deficit of $8,367 that was funded from grants and accumulated reserves. This is the central dynamic of ILSA's finances: day-to-day donations do not yet cover the cost of the book program, so the organization relies on periodic grants and major gifts to build and sustain reserves.

2.1.2 Income

Income Source	2024	2025	2026	Total
Recurring giving (PayPal + Bonterra)	$1,502	$5,878	$1,116	$8,495
Grants & major gifts (bank deposits)	$25,200	$143,168	$19,679	$188,047
Total income	**$26,702**	**$149,046**	**$20,795**	**$196,543**

Table 2.1: Income by source and calendar year (2024 and 2026 are partial; data spans September 2024–May 2026).

Recurring giving is the predictable, forecastable stream. Grants and major gifts are episodic by nature and are reported as discrete events rather than a trend.

2.1.3 Expenses

Expense Category	2024	2025	2026	Total
Program – Imagination Library	$0	$8,144	$4,019	$12,163
Other (fees, chargebacks)	$1	$0	$500	$501
Total expenses	**$1**	**$8,144**	**$4,519**	**$12,664**

Table 2.2: Operating expenses by calendar year, cash basis (Dollywood payments as cleared at the bank: 12 payments over September 2024–May 2026). The invoiced (accrual) program cost is reconciled below.

The program cost grows as enrollment increases, since ILSA pays per child served. It is the organization's dominant and steadily rising expense.

Program Cost: Invoiced vs. Paid

The Dollywood Foundation bills monthly for welcome, age-group, and graduation books plus per-piece mailing. The *invoiced* (accrual) amount is the cost incurred that month; cash payments clear about a month later, so cumulative invoiced minus paid is the outstanding payable. Reserves elsewhere in this report remain on the cash basis, so they continue to tie to actual money on hand.

Year	Invoiced (accrual)	Paid (cash)	Payable (cumulative)
2025	$6,377	$8,144	-$1,767
2026	$10,485	$4,019	$4,700
Total	**$16,863**	**$12,163**	**$4,700**

Table 2.3: Program cost invoiced vs. paid, by calendar year. "Payable" is the cumulative invoiced-minus-paid balance owed to the Dollywood Foundation.

2.1.4 Cash Flow and Reserves

Cash Flow Component	2024	2025	2026	Full Period
Opening reserves	$0	$26,700	$167,603	$0
Total income	$26,702	$149,046	$20,795	$196,543
Total expenses	($1)	($8,144)	($4,519)	($12,664)
Net change	**$26,700**	**$140,902**	**$16,276**	**$183,879**
Closing reserves	**$26,700**	**$167,603**	**$183,879**	**$183,879**

Table 2.4: Consolidated cash flow by calendar year. Reserves are inception-to-date, so each year's opening equals the prior year's closing. Internal PayPal–bank transfers are netted out so donations are counted once.

Closing reserves of $183,879 are healthy, but it should be understood that the bulk of these reserves originates from one-time grants and major gifts rather than from recurring operations.

2.1.5 Outlook

Projections extend the period's linear trend of recurring giving and program cost forward, holding grants at zero (new grants are not assumed). On that basis:

- Recurring-giving trend: -$9 per month.
- Program-cost trend: $132 per month.
- Projected reserves: $151,174 by May 2027 and $98,161 by May 2028.

Because grants are episodic and excluded from the projection, this is a deliberately conservative view: a single new grant or major gift materially improves the outlook. The practical implication is that sustaining and growing *recurring* giving is the key to long-term operating sustainability.

2.2 Budget and Forward Plan

2.2.1 Annual Operating Budget (August 2025 – July 2026)

The board adopted the following enrollment and program-cost budget for the fiscal year. Actual kids are the children served each month (age-group + welcome + graduation books mailed), and actual program cost is the invoiced (accrual) amount for that invoice month; months not yet invoiced are shown as "—".

2.2.1.1 Operational and Marketing Costs

2.2.2 Reserve Projection Scenarios (through December 2029)

Reserves are projected from the linear trend of recurring giving and program cost on past data (the baseline shown in the income-and-expense projection). The optimistic and pessimistic scenarios vary that baseline net cash flow by ±15% per year, widening the range over time. No new grants are assumed, so all three are conservative views.

Under the baseline, reserves decline from $183,879 today to -$27,062 by December 2029 (-$105,589 pessimistic, $34,493 optimistic). The decline is gradual because recurring giving nearly offsets the current program cost; the gap widens

Month	Budget Kids	Actual Kids	Budget Inv.	Actual Inv.	Variance
Aug	370	273	$900	$635	$265
Sep	425	324	$1,000	$783	$217
Oct	490	379	$1,200	$904	$296
Nov	560	407	$1,350	$1,011	$339
Dec	650	693	$1,580	$1,712	-$132
Jan	750	751	$1,800	$1,767	$33
Feb	850	756	$2,100	$1,805	$295
Mar	980	939	$2,400	$2,214	$186
Apr	1,120	1,002	$2,750	$2,313	$437
May	1,300	1,039	$3,200	$2,387	$813
Jun	1,500	1,099	$3,650	$2,635	$1,015
Jul	1,700	—	$4,200	—	—
Total	—	—	**$26,130**	**$18,166**	

Table 2.5: Monthly enrollment and program-cost budget vs. actual, August 2025 – July 2026.

Item	Budgeted	Frequency	Notes
Mail Box	$350	yearly	

Table 2.6: Budgeted operational and marketing costs.

only as the program grows. A single new grant or major gift – excluded here by design – would materially extend the runway.

2.2.3 Governance and Compliance

ILSA maintains its IRS 501(c)(3) tax-exempt status, complies with Texas nonprofit corporation requirements, and operates under the partnership guidelines of Dolly Parton's Imagination Library. Financial activity is reviewed by the board, with segregation of duties across financial processes.

2.2.4 Figures

The figures that follow summarize the period. "Monthly Income and Expense Analysis" separates recurring operating activity (top) from episodic grants and major gifts (bottom), since the latter are large enough to obscure the former on a single scale. "Accumulated Reserves" traces the consolidated cash position over time, with grant events annotated. "Income and Expense Projections" extends the recurring-giving and program-cost trends forward, and "Projected Reserves" carries that same baseline trend to December 2029 with an optimistic/pessimistic

Year-end	Pessimistic (−15%/yr)	Baseline	Optimistic (+15%/yr)
Dec 2026	$166,424	$167,269	$168,190
Dec 2027	$113,970	$122,717	$131,270
Dec 2028	$26,295	$57,858	$85,494
Dec 2029	-$105,589	-$27,062	$34,493

Table 2.7: Projected reserves at each year-end under the baseline and ±15%/yr scenarios.

band of ±15% per year. The final map, "San Antonio Areas Served by ILSA," gives geographic context to the program's reach.

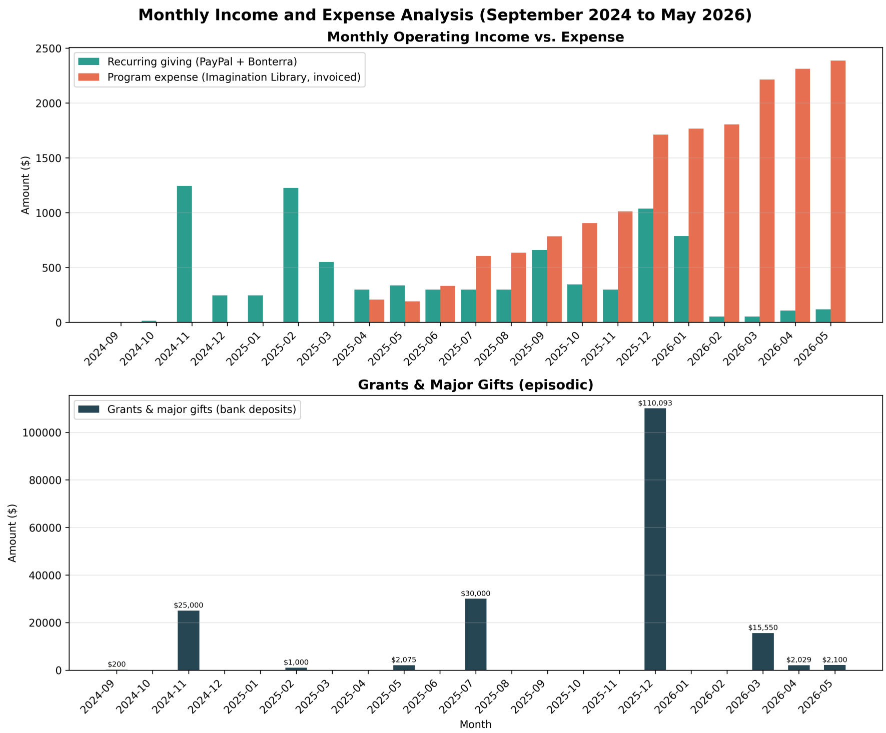

Figure 2.2-1: Monthly Income and Expense Analysis

Financial figures generated from ledger data by treasurer.py; see ***`ILSA-commands.tex`***.

2.3 Enrollment Cohorts and Forward Commitments

Every enrolled child receives a book each month from birth through age five, so the children on the rolls today are a multi-year financial commitment. This

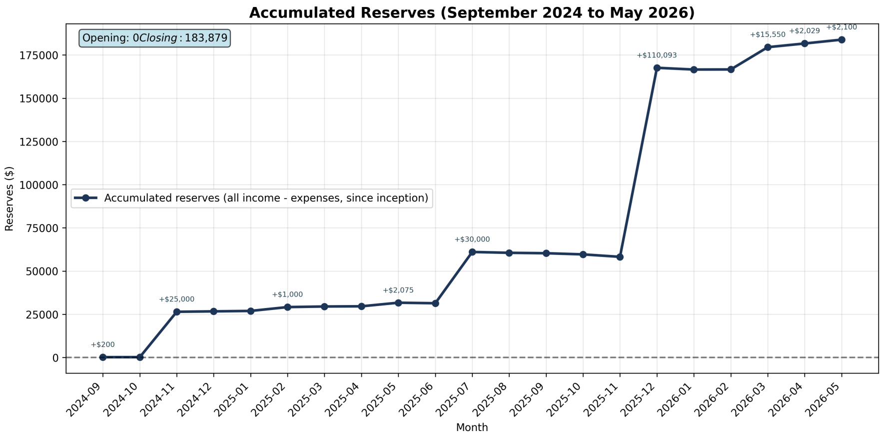

Figure 2.2-2: Accumulated Reserves

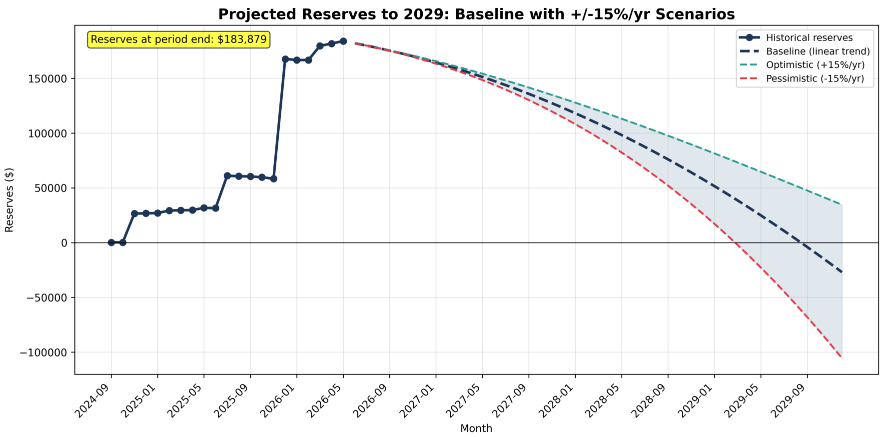

Figure 2.2-3: Projected Reserves to December 2029: Baseline (linear trend) with ±15%/yr Optimistic and Pessimistic Scenarios

section reads the invoice data as an age-structured population: each Imagination Library Group 1–6 is a one-year age cohort; children age up one group per year and graduate out after Group 6; new children enter through welcome books (invoice item code `LETC`) and graduations are billed as `GRAD` books. Tracking how these cohorts move through the system turns the current roster into a forecast of future cost. Throughout, program cost is the invoiced $2.38 per child served (the accrual basis reconciled in the Expenses section).

2.3.1 Current Age Structure

As of June 2026, 1,000 children are enrolled across the six age groups (Figure 2.3-6). The pyramid is *inverted*: the youngest group (Group 1, infants) is the smallest, while Groups 2–5 each hold roughly two hundred children. This is the signature of

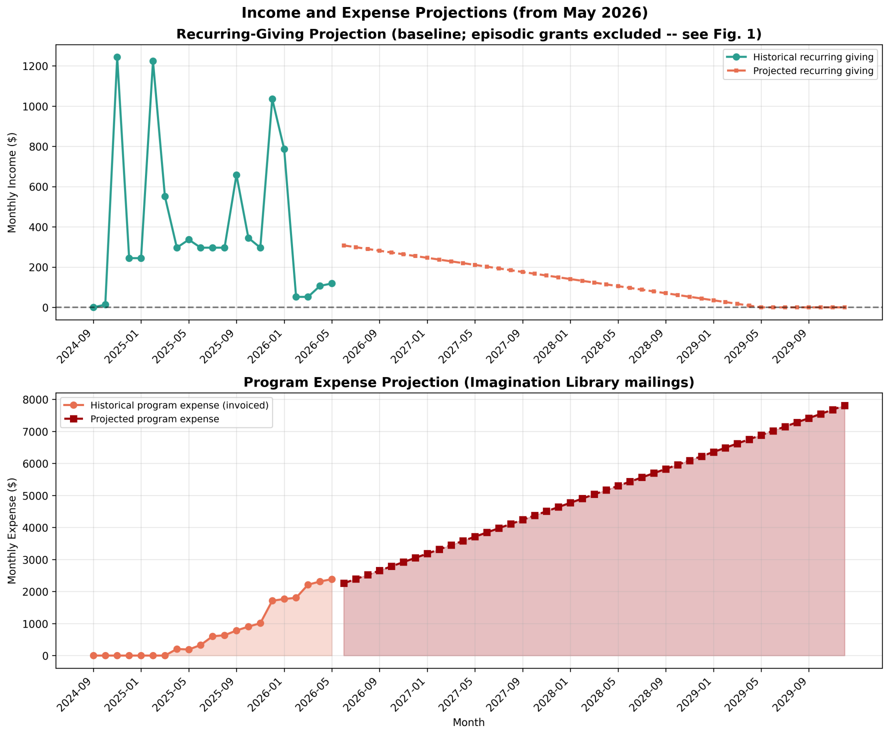

Figure 2.2-4: Income and Expense Projections

a program still scaling up by enrolling older children, rather than one fed primarily by newborns.

2.3.2 Observed Enrollment Flows

The invoices now make the enrollment dynamics directly observable (Figure 2.3-7): welcome books (LETC) count new enrollments each month, and graduation books (GRAD) count exits. New enrollment averages about 82 children per month with a linear trend of +4.4 per month. Two enrollment campaigns (December 2025 and March 2026) drive the visible spikes and pull that linear trend upward, so the projection below should be read as an upper-leaning estimate of recruitment.

2.3.3 Locked-in Commitment

Even if enrollment stopped today, the children already on the rolls obligate ILSA to $95,949 of future books (40,308 book-months) as each cohort ages to graduation over the next five years (Figure 2.3-8). This is the floor on program cost: it assumes no new enrollment and no attrition.

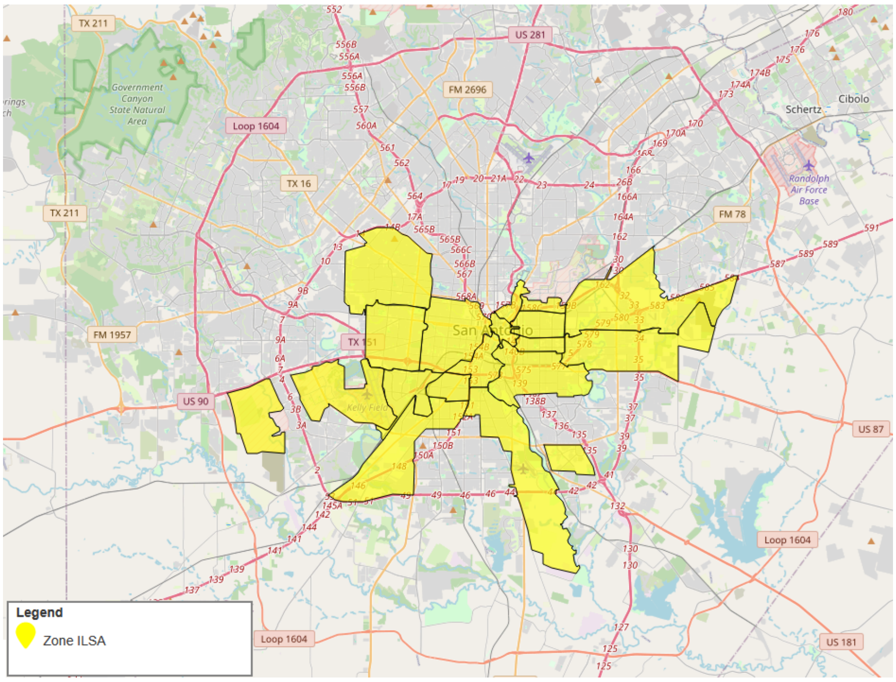

Figure 2.2-5: San Antonio Areas Served by ILSA

2.3.4 Forward Projection to 2029

Carrying the observed recruitment trend forward, with graduation handled endogenously (children age out at sixty months of enrollment), program cost continues to climb (Figure 2.3-9). Because the age at which new children enter is not directly observed, two intake mixes bracket the outcome: *today's mix* (entrants skew older, as currently observed, so they graduate sooner) and *birth-fed* (a matured program enrolling mostly infants, who carry a full six-year tail). The two diverge in age composition at the horizon (Figure 2.3-10).

By 2029, enrollment reaches 7,174 children (today's mix) to 9,055 (birth-fed), a monthly program cost of $17,078 to $21,555, and a locked-in future commitment of $419,178 to $1,137,557. The intake mix is the dominant lever on the long-run liability.

Year-end	Kids (today's)	Kids (birth-fed)	$/mo (today's)	$/mo (birth-fed)
Dec 2026	1,695	1,712	$4,035	$4,075
Dec 2027	3,357	3,567	$7,992	$8,491
Dec 2028	5,227	6,008	$12,443	$14,300
Dec 2029	7,174	9,055	$17,078	$21,555

Table 2.8: Year-end enrollment and monthly program cost under the two intake-mix scenarios ("today's" = current older-skew intake; "birth-fed" = matured program).

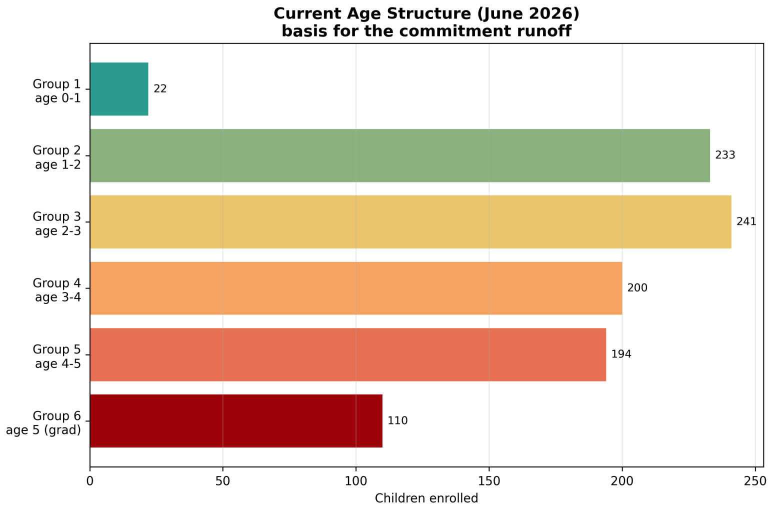

Figure 2.3-6: Current enrollment by age group (the population pyramid that seeds the forward model).

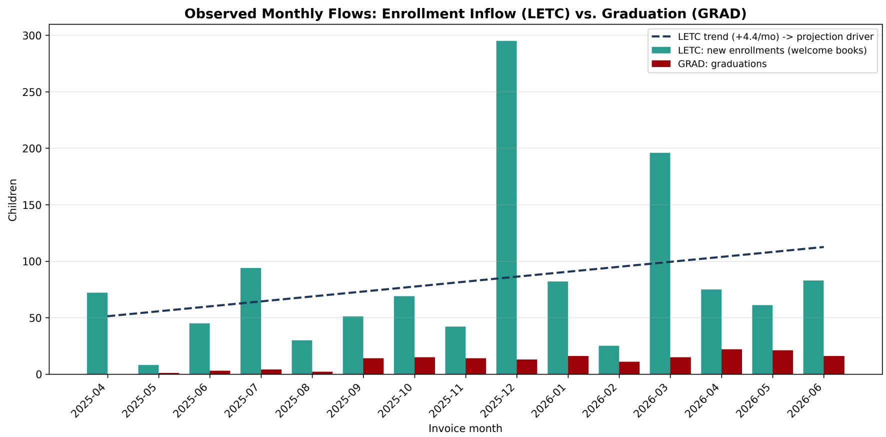

Figure 2.3-7: Observed monthly enrollment inflow (LETC) versus graduation outflow (GRAD), with the linear recruitment trend used in the projection.

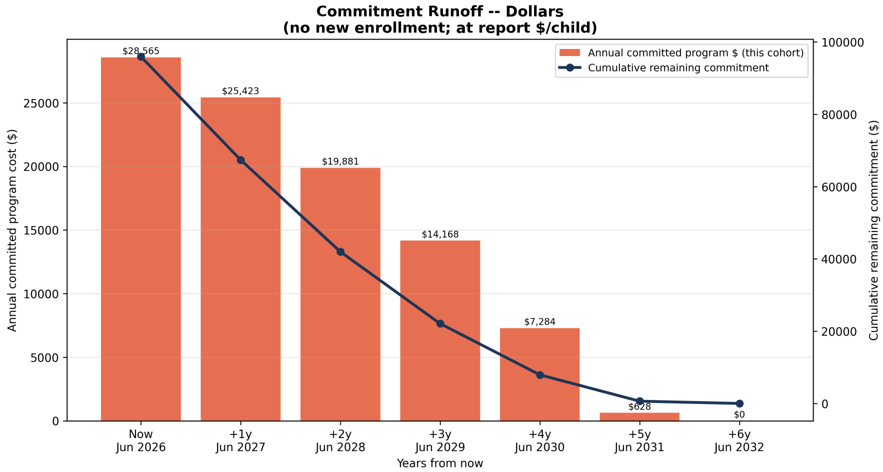

Figure 2.3-8: Commitment runoff for the current cohort with no new enrollment: annual committed cost and the cumulative remaining obligation.

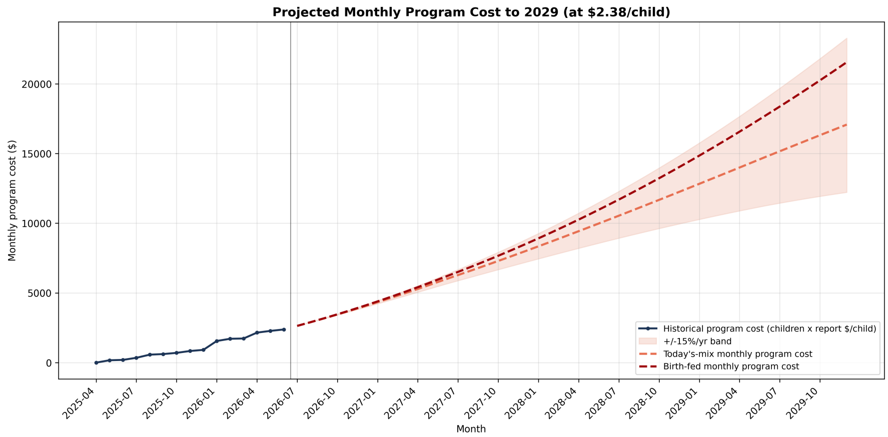

Figure 2.3-9: Projected monthly program cost to 2029 under observed-LETC recruitment, with a $\pm15\%$/yr band and the two intake-mix scenarios.

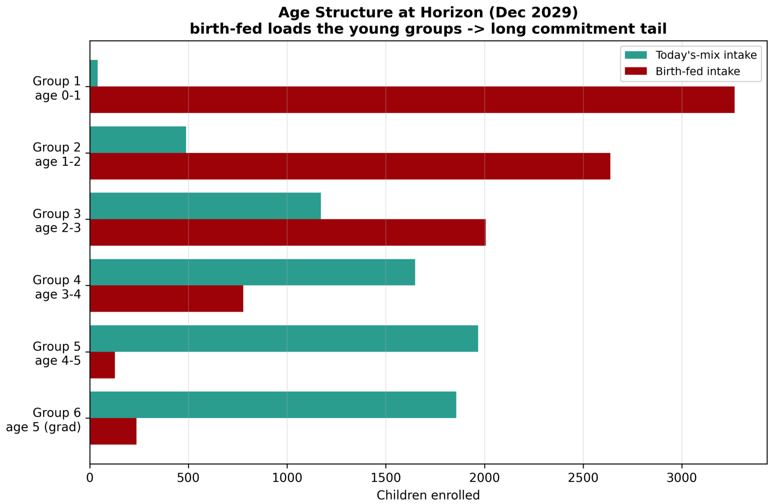

Figure 2.3-10: Age structure at 2029 under each intake mix: birth-fed loads the young groups, producing a much larger long-run commitment tail.